Escalation against Iran still likely

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Democrats’ urban core is still moving left

Escalation against Iran still likely. Despite the recent fall in oil prices and Republican losses in the midterms, escalation with Iran is still likely (60%, down from 65%). President Donald Trump will probably launch new strikes to break the negotiating deadlock, which would likely cause Brent to jump to $110-125 per barrel.

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Democratic criticism won't sway Trump, but GOP splits could make him hesitate. His room to act shrinks after the new year, when Democrats can use funding to limit his options.
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A deal looks less likely (10%, down from 20%). Iran's demands are steep, and the midterm results have probably emboldened it. Trump will reject any deal that looks like a defeat. A continued standoff is now more likely (30%, up from 15%), as many of Trump’s advisors reportedly favor this.
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Strikes could be delayed or smaller than expected. Trump hasn't picked a strategy yet. His options range from a large bombing campaign to targeted strikes on Gulf assets to symbolic hits on targets like Pickaxe Mountain.
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For more, please see Escalation still likely despite midterms rout , 4 November 2026.

Electoral losses for data centers will have moderate impact on buildout. Local voters rejected data centers almost everywhere they appeared on ballots on Tuesday. Municipal limits shift projects to friendlier jurisdictions within states rather than halting statewide buildout, though, constraining projects only where they overlap with needed power, water, and connectivity.

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Gina Hinojosa's defeat of Governor Greg Abbott in Texas matters most, as Texas hosts about one-third of the planned US buildout. With limited executive power, she will likely extend Abbott's grid interconnection halt and work with a split legislature to cut incentives and strengthen local vetoes.
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Democrats also flipped Georgia and Ohio; Georgia's governor-elect promised a temporary pause. In Ohio most rezoning measures—meant to make zoning laws friendlier to datacenter buildouts—failed, while bans or restrictions bassed ballot measures across the state.
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Governors will likely favor conditions over outright bans. Expect environmental, labor, and community-benefit requirements plus incentive rollbacks, raising costs and redirecting projects to friendlier states. Any moratoria will be temporary, slowing but not halting the buildout.
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For more, please see Electoral losses for data centers will have moderate impact on buildout , 4 November 2026.

Democrats' urban core is still moving left. Democratic moderates won big in red states on Tuesday, but progressive candidates also made gains; Democratic Socialists of America-backed candidates won the Washington, DC, mayoral race and lead in Los Angeles, building on victories in New York City and Seattle last year. They picked up a few congressional seats as well.

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In its traditional geographic base—coastal cities and wealthier suburbs dominated by college-educated white voters, as well as important Black and Hispanic constituencies—Democratic voters are still moving to the left, favoring candidates who emphasize left-wing, economic-populist messages.
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On net, moderates have gained relatively more status in the party from their success in expanding the Democratic map to states like South Carolina and Kansas, but progressives will see a lot to like here as well; voters who backed Trump in 2024 have entered the Democratic tent, but progressives are if anything strengthening their hold in the party's base (see Democrats' Tea Party Moment will drag the party left , 20 July 2026). That will keep momentum behind a progressive candidate in the 2028 presidential primary, potentially Rep. Alexandria Ocasio-Cortez (D-NY).
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With both moderates and progressives doing well this year, the House Democratic caucus will likely become more barbell-shaped in the next Congress; both the Congressional Progressive Caucus and the centrist Blue Dog Coalition will grow in number. The need to bridge that divide will likely mean that Democrats focus on issues of universal agreement within the party next year: investigations of the White House and firms that have done business with it, and pocketbook issues like affordability, healthcare, and housing.

Quote of the Day

"The scale of the Republican defeat is so great that it makes the race for the GOP presidential nomination wide open. If the administration had won a big victory, Vice President J D Vance would have had an enormous argument to be the inevitable nominee." - Former Republican House Speaker Newt Gingrich posting on X about the GOP's midterms losses; what had looked like it would be a fairly placid 2028 GOP primary now looks considerably more open, with figures like Florida Governor Ron DeSantis and Senator Ted Cruz (R-TX) already positioning themselves for a potential run against Vance and Secretary of State Marco Rubio, should they run.

On the Radar

9 November: Congress returns from recess

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

15 December: Senator-elect Sherrod Brown (D-OH) is sworn in, reducing Republicans' Senate majority to 52-48.

10 January: US-China tariff truce expires

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